

Learn Cryptocurrency: Beginner's Guide

Lesson 8: Regulations & Tax Basics

Regulations & Tax Basics - Study Notes

Key Concepts

1. **Legal Status & Entity Types** – How a business's legal form (sole proprietorship, partnership, corporation, LLC, etc.) determines tax obligations and liability.
2. **Reporting Obligations** – What tax returns, information returns, and other filings are required at federal, state, and local levels.
3. **Record Keeping Requirements** – Types of records to retain, how long to keep them, and best practice methods for organization.
4. **Tax Identification Numbers** – Employer Identification Number (EIN), Social Security Number (SSN), and state tax IDs.
5. **Compliance Calendar** – Key dates and periodic filing deadlines (quarterly, annual, etc.).

Summary

Understanding the regulatory and tax landscape is the foundation for any successful business. The legal status you choose for your venture—whether you operate as a sole proprietor, partnership, corporation, or limited liability company—directly affects which taxes you pay, the forms you file, and the level of personal liability you face. Each entity type has distinct reporting obligations: for example, corporations file Form 1120, partnerships file Form 1065, and sole proprietors report business income on Schedule /C of their personal 1040 return.

Equally important is maintaining proper records. The IRS and state tax agencies require businesses to keep documentation that supports income, deductions, payroll, and other tax positions. Generally, you must retain most records for at least **three years** from the date the return was filed (or two years from the date the tax was paid, whichever is later), though some items—like assets, depreciation schedules, and employment tax records—must be kept **seven years** or longer. Organized record keeping not only ensures compliance but also streamlines the preparation of tax returns and protects you in the event of an audit.

Important Points

- **Choose the right entity early** – It influences tax rates, filing forms, and personal liability.
- **Obtain an EIN** for any business with employees, a partnership, corporation, or LLC; it's required for most tax filings.
- **Federal filing basics**:
 - **Sole Proprietor** – Schedule /C (Form 1040).
 - **Partnership** – Form 1065 + Schedule /K 1 for each partner.
 - **Corporation** – Form 1120 (C corp) or Form 1120 S (S corp).
 - **LLC** – Taxed as sole proprietor, partnership, or corporation depending on election.

- **State and local taxes** may include income tax, sales tax, use tax, franchise tax, and payroll taxes; requirements vary widely.

- **Record keeping categories**:

- **Income** – invoices, receipts, bank statements.
- **Expenses** – receipts, bills, mileage logs, utility statements.
- **Assets** – purchase invoices, depreciation schedules, titles.
- **Payroll** – employee W 2s, contractor 1099 Ms, time sheets.
- **Tax filings** – copies of all returns, supporting schedules, correspondence with tax agencies.

- **Retention periods**:

- General tax records – **3 years**.
- Employment tax records – **4 years** (IRS) or **7 years** (state).
- Property records (depreciation, basis) – **7 years** after disposition.
- Permanent records (e.g., corporate bylaws, formation documents) – **indefinitely**.

- **Compliance calendar**: Mark quarterly estimated tax due dates (April /15, June /15, Sept /15, Jan /15), annual filing deadlines (typically March /15 for S corps/partnerships, April /15 for sole proprietors), and any state specific dates.

Examples

Example 1 – Sole Proprietor Record Keeping

Scenario: Jane runs a freelance graphic design business as a sole proprietor.

What she must do:

1. Open a separate business checking account.
2. Keep all client invoices and receipts for payments received.
3. Save receipts for business expenses (software subscriptions, hardware, home office utilities).
4. Maintain a mileage log for any client related travel.
5. At year end, compile the totals and report them on Schedule /C attached to her personal 1040.

Why it matters: Proper documentation supports the deductions Jane claims and protects her if the IRS questions any expense.

Example 2 – LLC Electing Corporate Taxation

Scenario: XYZ Consulting, LLC, elects to be taxed as an S corporation.

What they must do:

1. Obtain an EIN and register for state payroll tax.
2. File Form 1120 S annually and issue Schedule /K 1 to each member.
3. Run payroll for the members who work in the business, withholding federal and state income tax, Social Security, and Medicare.
4. Keep payroll records, shareholder meeting minutes, and a copy of the S corp election (Form /2553).
5. Retain all records for at least seven years because the IRS may audit depreciation schedules for the office equipment purchased.

Why it matters: The S corp election changes how income is taxed (pass through) and imposes stricter payroll and record keeping requirements than a standard LLC.

Quick Review

1. **What are the three most common legal structures for small businesses, and how does each affect tax filing?**
2. **Which tax form does a partnership file, and what supplemental form is issued to each partner?**
3. **List three types of records you must keep for a business and the minimum retention period for each.**
4. **When are quarterly estimated tax payments generally due?**
5. **Why is obtaining an EIN important even if you have no employees?**

Further Reading

- **Entity Selection & Tax Implications** – Deep dive into C corp vs. S corp vs. LLC taxation.
- **State Specific Tax Guides** – Understanding sales tax, franchise tax, and state income tax obligations.
- **IRS Publication 583: Starting a Business and Keeping Records** – Official guidance on record keeping.
- **Payroll Basics** – How to calculate and remit payroll taxes, issue W 2s/1099 Ms.
- **Tax Planning for Small Businesses** – Strategies to minimize liability and maximize deductions.

